

Axion – Income Tax Consequences of the Renewable Energy Investment Opportunities

Axion Digital Infrastructure (Pty) Ltd

Background. Document 7, page 18, 19, 20 of pre-release requests an assessment of the **income tax considerations** relating to the renewable-energy investment opportunities and refers to SARS Guide **IT39** dated 23 November 2024.

Scope. Each investment opportunity is considered separately, covering the relevant provisions, their application, illustrative calculations and the additional information required.

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Summary – the four opportunities side by side

	1 – PPA	2 – Direct investment	3 – Wheeling	4 – Offtake
Asset acquired?	No	Yes, if Axion owns	Depends on ownership	No
TAXPAYER deducts the capital allowance	The producer	The owner – Axion, each partner, or the company	The owner of the off-site plant	N/A
Sections	s11(a)	s12B, s12U, s13quin, s11(e), s24J	As 1 or 2, plus s11(a)	s11(a), s23H
AMOUNT	Cost incurred	50/30/20; 100% for PV ≤1MW; s12U 100%	Cost incurred, or as 2	Each year's obligation
TIMING	Year the obligation arises	From first use; not apportioned	Year the obligation arises	Each year, not on signature
Case law	- Inevitable operating cost - Directly linked to earning income	- Income-producing structure - Enduring benefit = capital - Trade interpreted widely - Repair restores; improvement makes better	- Purpose of expenditure is decisive - No actual income required - Transmission loss is an operating risk	- Unconditional liability - No deduction for a provision - Deduct each year, not on signature
Disposal	N/A	s8(4)(a), s8(4)(k), s11(o), Eighth Schedule	As 2 if Axion owns	N/A

Case law – principles applied in this document

Case	Principle	Applied in
PE Tramways / Joffe	An amount is in the production of income if the risk of incurring it is an inevitable concomitant of the taxpayer's income-earning operations.	Investments 1, 3 and 4 — electricity, wheeling charges, transmission losses and curtailment.
Warner Lambert / Sub-Nigel	The purpose for which the expenditure was incurred is the decisive consideration ; it must be incurred for the purpose of earning income, whether or not it actually resulted in income .	Investments 3 and 4 — volumes paid for but not received or not used.
Edgars Stores / Nasionale Pers	An amount is actually incurred only when an unconditional liability exists. No amount may be deducted for a provision . Expenditure is deducted once all conditions are met, even if the amount is an estimate.	Investment 4 — multi-year offtake commitments.
BP (SA) / New State Areas / Rand Mines	A distinction is drawn between expenditure to acquire an income-producing concern and expenditure incurred in working it. Expenditure that adds to the income-earning structure , or gives an enduring benefit , is capital.	Investment 2 — the project cost is capital, so relief is only by capital allowance.
Burgess	The definition of “ trade ” should be given a wide interpretation .	Investment 2 — the s12B and s12U trade requirements.
African Products Manufacturing	A repair restores or replaces a subsidiary part after damage. A renewal replaces substantially the whole. An improvement creates a better asset. Using different material does not of itself make it an improvement.	Investment 2 and the existing on-site solar — s11(d) against s12B(1)(i).

The investment opportunities, as Document 7 states them

Investment	Document 7, page 20	Point of entry
1. Additional power purchase agreements	Purchase renewable electricity from an independent producer. May require limited upfront capital. Price, volume and supply terms agreed contractually.	No asset acquired → s11(a) only.
2. Direct investment in generation capacity	Invest in a renewable energy project, potentially with an experienced technical partner. Requires upfront capital and an appropriate funding structure. Axion participates in the risks and returns.	Asset acquired → s12B, s12U, s13quin, s11(e), and who owns it.
3. Off-site generation and wheeling	Land and network constraints may limit generation on site. Electricity generated elsewhere and supplied through the network, allocated at an agreed metering point. Network and wheeling charges, transmission losses, curtailment, electricity generated but not used.	Ownership of the off-site plant, plus s11(a) on the wheeling costs.
4. Long-term offtake agreements	Pricing and escalation terms may apply for many years. Purchase commitments may begin before the new facility is fully utilised.	When each year's amount is actually incurred.

Investment 1 – Additional power purchase agreements

Document 7, page 20: purchase renewable electricity from an independent producer; may require limited upfront capital; price, volume and supply terms agreed contractually.

Section	What it requires / allows	Application to Axion
s12B(1)(h) s12BA s11(e)	- Each requires the asset to be owned by the taxpayer, or held under an instalment credit agreement. - Each requires the asset to be brought into use by that taxpayer for the purposes of its own trade.	TAXPAYER — the producer owns the plant and brings it into use. No allowance to Axion under any of these sections. AMOUNT / TIMING — nil.
s12U	Requires the taxpayer's trade to be the generation of electricity exceeding 5MW.	TAXPAYER — not Axion. Its trade is data centres and interconnection (page 19). - Axion also owns no plant, so the section fails on that ground as well.
s11(a) with s23(g)	- Expenditure actually incurred. In the production of the income. Not of a capital nature. Laid out for the purposes of trade (s23(g)).	TAXPAYER — Axion. - Electricity powers customers' equipment, cooling and security (page 19), so the risk of incurring it is an inevitable concomitant of operating data centres (PE Tramways/Joffe). - It works the income-earning operations rather than adding to the structure, so it is not capital (BP (SA)/New State Areas/Rand Mines). AMOUNT — the full cost incurred. No rate and no write-off period. TIMING — the year the unconditional liability arises (Edgars Stores/Nasionale Pers). - The deduction is available each year for the contract term.
VAT s16(3), s17	- Electricity is a standard-rated supply at 15%. - Input tax is deductible to the extent the supply is acquired for making taxable supplies.	- Deductible in full — Axion makes taxable supplies. - Requires the producer to be a registered vendor.
Carbon Tax Act	- Imposed on emissions from fuel combustion above the activity threshold. - Not imposed on purchased electricity.	- Axion's liability arises from its diesel backup generators (page 19). - Page 20 states that renewable generation does not replace resilience infrastructure.

Worked example

Illustrative figures. Document 7 does not state a volume, price or term.

	Input	Effect
Volume purchased	80 000 000 kWh	
Price	R1.10 per kWh	
Cost actually incurred	R88 000 000	
Capital allowance	Nil — no asset owned	Nil
s11(a) deduction	R88 000 000	R23 760 000 at 27%
Input tax on the producer's invoice	R13 200 000	Deductible

Information required

- Volume, price and escalation basis; the term of the agreement.
- Whether there is a **minimum purchase or take-or-pay obligation** — if so, Investment 4 applies.
- Whether the producer is a **registered VAT vendor**.
- Whether Axion contributes **capital, a prepayment or funding**, or acquires any interest in the plant.

Investment 2 – Direct investment in generation capacity

Document 7, page 20: invest in a renewable energy project, potentially with an experienced technical partner; requires upfront capital and an appropriate funding structure; Axion participates in the risks and returns. Sections 2.1 to 2.7 follow SARS Guide IT39.

- The project cost **acquires an income-producing concern** and gives an **enduring benefit**, so it is **capital** and not deductible under s11(a)
- Relief is available only through the capital allowances below.

2.1 Section 12B – the generation plant

Section	What it requires / allows	Application to Axion
s12B(1)(h)	• Specified sources: wind; photovoltaic solar; concentrated solar; hydropower not exceeding 30MW; biomass. • The asset must be machinery, plant, an implement, a utensil or an article. • It must be owned by the taxpayer, or held under an instalment credit agreement. • It must be brought into use for the first time by that taxpayer for the purposes of its own trade. • The asset need not be new and unused — second-hand qualifies. • It must be used by that taxpayer in generating electricity from a specified source.	• TAXPAYER — Axion, if it owns the renewable energy plant and brings it into use for the first time. • There is no restriction on the type of trade (IT39 2.5), and “trade” is widely interpreted (Burgess), so plant powering Axion's own data centres qualifies. • Second-hand plant qualifies if brought into use for the first time by Axion. • The electricity may also be sold to others. • Hydropower above 30MW falls outside s12B and goes to s11(e), 2.5.
s12B(2)	• 50 / 30 / 20 over three years. • s12B(2)(b): 100% in year one for photovoltaic solar not exceeding 1MW. • s12B(5) caps total deductions at cost.	• AMOUNT — depends on capacity and technology. • PV not exceeding 1MW → 100% in year one. • PV above 1MW, wind, concentrated solar, qualifying hydro and biomass → 50 / 30 / 20.
Timing	• No apportionment — the full percentage is deducted in the year of first use, even on the last day of that year. • Brought into use for the first time by that Taxpayer • Installation and testing do not qualify as first use. • The onus of proof rests on the taxpayer.	• TIMING — deduction allowed in the year Axion first uses the plant, then the following two years. • Page 19 records that new connections may require substantial lead times, which determines the year of first use. • Evidence of first use: electrical certificate of compliance, confirmation of the installation and use date, generation and metering reports, contracts and invoices.
Exclusions	• Mixed sources (IT39 2.1.4): the asset must generate from the listed sources; there is no “to the extent” or “mainly”. An asset using renewable and non-renewable sources does not qualify at all. • s12B(4) denies the deduction where the asset is let other than under an operating lease (s23A(1)), unless the lessee derives income and the lease runs 5 years or the asset's life. • s12B(4) also denies it where the asset was disposed of in a previous year, or where s6C or s12BA was allowed.	• Mixed sources apply here. Page 19 of pre-release records grid and municipal supply, renewable electricity, on-site solar and diesel backup generators. • A single installation generating from a renewable source and diesel qualifies for no deduction, with no apportionment. • If Axion lets the plant to another party, s12B(4) must be tested.

2.2 Foundations, improvements, transmission and storage assets

Section	What it requires / allows	Application to Axion
Foundations proviso to s12B(1)	• A foundation or supporting structure is deemed part of the asset only if all three requirements are met. • It must be designed for the asset and integrated with it. • Its useful life must be limited to the	• TAXPAYER / AMOUNT / TIMING — Axion, at the same rate and in the same years as the plant. • Panel mounting frames and their concrete foundations qualify. • A strengthened roof does not qualify (IT39 Example 3): it is integrated with the building, and its useful life

Section	What it requires / allows	Application to Axion
	useful life of the asset. It must have been brought into use on or after 1 January 2013.	exceeds that of the panels.
Improvements s12B(1)(i)	- Deduction for improvements, but not repairs, to a qualifying asset or its deemed foundation. - The same rate as the underlying asset applies. - The underlying asset must itself have qualified. - The cost excludes the cost of the underlying asset. s12BA made no provision for improvements.	TAXPAYER / AMOUNT / TIMING — Axion, same rate, from the year the improvement is brought into use. - An improvement creates an enduring benefit to the asset. - A repair restores a subsidiary part after damage and is deducted in full under s11(d).
Transmission and storage IT39 2.2	- Storage and conversion assets qualify if part of a system that produces electricity — PV panels with their foundations and steel structures, DC combiners and feeder lines, AC inverters. - Assets used for transmission, such as transformers and transmission lines, do not generate electricity and will generally not qualify. - Assets used for storage, such as batteries, likewise will generally not qualify, unless integral to a generating system. - Assets that only draw power from the grid and store it do not qualify.	Grid connection and transmission line — generally outside s12B, so they go to 2.5. - Page 19 records UPS and battery infrastructure, and page 20 records that renewable generation does not replace it. - Batteries integral to the renewable system may qualify under s12B. - Batteries charged from the grid for resilience do not qualify and go to s11(e).

2.3 Section 12BA

Section	What it requires / allows	Application to Axion
s12BA	125% of cost, deducted in full in the year of first use. - The asset must be new and unused. - It must have been brought into use on or after 1 March 2023 and before 1 March 2025. - No capacity threshold, and not apportioned. s12BA(4)(b) denies the deduction where the asset is brought into use after 28 February 2025.	TAXPAYER / AMOUNT / TIMING — not available on the new investment → Plant acquired now will be brought into use after 28 February 2025. S12BA may be relevant to plant already held: - If Axion's existing on-site solar plant was new and unused and was first brought into use by Axion between 1 March 2023 and 28 February 2025. Then Axion could have claimed 125% of its cost under s12BA in that year; the actual installation date and prior tax treatment must be confirmed.

2.4 Section 12U – roads and fences

s12U(1)(a)	100% of the amount actually incurred in the year. - On the construction of a road or the erection of a fence. - Used for the taxpayer's trade of the generation of electricity exceeding 5MW from a specified source. New construction only, not existing roads or fences.	TAXPAYER — only a taxpayer whose trade is generating electricity. - Page 19 describes Axion's trade as data centres and interconnection. - Where the generating entity sells or wheels electricity the trade requirement is met; "trade" is widely interpreted (Burgess). - Where generation is solely for Axion's own use, whether such a trade is carried on is a question of fact not addressed in Document 7. AMOUNT — 100% Deduction. Below 5MW the section does not apply.
s12U(2)	The foundation designed for such a	Unlike s12B, the fence foundation is not deemed to form

s12U(1)(b)	fence qualifies in its own right. - It must be integrated with the fence and limited to its useful life. Improvements to the road, fence or fence foundation are deductible; repairs are not.	part of the fence.
s12U(3) IT39 6.3	- Expenditure incurred before the trade commences, in preparation for it, is deducted when the trade commences. - The deduction must be taken in the year incurred and cannot be postponed.	TIMING — the year incurred; or, for pre-trade expenditure, the year the generation trade commences. - Roads and fencing are ordinarily constructed before commissioning, so s12U(3) is likely to apply. - Because it cannot be postponed it falls in one year, and may create an assessed loss — see 2.7.

2.5 Assets outside sections 12B and 12U

Section	What it requires / allows	Application to Axion
s13quin	5% per annum of the cost of a new and unused building or improvement. Owned by the taxpayer. - Used wholly or mainly, meaning more than 50%, in producing income in its trade. - Based on the lower of cost and market value. Land is excluded.	TAXPAYER — Axion, as owner. - Applies to a substation or plant-room building that is new and unused. AMOUNT — 5% a year. TIMING — from the year of first use.
s11(e)	- Deduction for the decrease in value of machinery, plant, implements, utensils and articles owned by the taxpayer. - At the rates in IN 47 / BGR 7. Apportioned for part-periods of use. Excludes assets in respect of which a deduction may be granted under s12B, 12C, 12DA, 12E(1), 12U or 37B — even if s11(e) would give more (IT39 9.1). - The taxpayer cannot choose between the sections.	TAXPAYER — Axion. AMOUNT — the IN 47 write-off period. TIMING — from first use, apportioned for the part of the year in use. - Applies to the transmission line and transformers not integral to generation. - Applies to grid-charged UPS and backup batteries. - The exclusion operates automatically: where s12B may be granted, s11(e) is unavailable.
No section	Where no allowance section applies the expenditure is capital and forms part of base cost.	Land — no allowance under any section.

2.6 Ownership

Document 7 page 20: the investment would be made "potentially with an experienced technical partner".

Section	What it requires / allows	Application to Axion
Ownership IT39 2.3	- The same taxpayer must own the asset, bring it into use, use it in its own trade, and use it in generating electricity. - Ownership is determined at common law. - Under superficies solo cedit, an asset artificially attached to land becomes the property of the landowner. - The purchaser may then not be the owner, and is not entitled to a deduction. - The taxpayer need not own the land, but must own the asset.	TAXPAYER — depends on the structure, which Document 7 does not state. Axion owns the plant → Axion deducts the full allowance. If the plant becomes permanently attached to land not owned by Axion → no deduction to Axion, because it is not the owner. - In that case there is also no deduction to the landowner, because they did not incur any cost. - Where the plant is attached so it can be removed without damage, and the parties record that it will be removed at the end of the lease, Axion retains ownership. If foundation is concrete it remains with the land.
s12N	- Deems a taxpayer holding a right of use or occupation to be the owner of improvements it effects to land it does not own, for s12B and s12BA purposes. - s12N applies to land or buildings leased from government or held under a Public	- Test s12N where Axion builds on land it does not own. - If its requirements are not met, the s12B ownership requirement fails.

Section	What it requires / allows	Application to Axion
	Private Partnership.	
s24H	- Each partner has an undivided proportionate share of each asset and deducts that share. s24H(3) may limit the deduction in the year, with the excess carried forward under s24H(4).	Joint operation → Axion deducts its proportionate share. - The share may not all fall in year one, because of the s24H(3) limitation. Further explanation: - If Axion and the technical partner establish a joint operation that constitutes a partnership, and Axion holds a 50% interest: - Axion is treated as owning 50% of each renewable-energy asset. - Axion's starting share of the illustrative first-year capital allowances would be R125.25 million. - Axion may claim the full R125.25 million only if its section 24H at-risk amount is at least that amount at year-end. - If Axion's at-risk amount is lower, the deduction is limited to that lower amount. - The excess is carried forward and may be claimed in a later year once Axion has sufficient at-risk value. - If the arrangement is instead conducted through a separate company, section 24H does not apply: the company owns the plant and claims the capital allowances, while Axion claims no direct capital allowance.
Separate company	- A company that owns the plant deducts in its own right. - Its shareholders deduct nothing.	A project company owns the plant → that company deducts. - Axion deducts only s11(a) on electricity it purchases.
Letting IT39 2.3	Generally no s12B allowance where the taxpayer lets the asset, because the lessee then uses it to generate.	Relevant if Axion lets the plant to the technical partner or an operator.

2.7 Funding, assessed losses and disposal

Section	What it requires / allows	Application to Axion
s24J s11A	- Interest is incurred and accrued on a yield-to-maturity basis, independently of the accounting treatment. s11A: expenditure incurred in preparation for a trade before it commences is deducted when the trade commences. - The s11A deduction is limited to the taxable income of that trade, with the excess carried forward.	S24J: Taxpayer – the entity that incurs the interest. - Page 20 of pre-release records that the investment requires an appropriate funding structure. - S24: Timing – as incurred, not as paid. Interest is deducted as it is incurred on a yield-to-maturity basis, not as it is paid. Where the interest is capitalised into the cost of the asset for accounting purposes it is still deducted for tax as incurred. s11A applies where expenditure is incurred in preparation for a trade that has not yet commenced. Document 7 page 20 records that the investment requires upfront capital, and page 19 records that new connections may require substantial lead times.
s23M	- Limits the deduction of interest incurred on debt owed to a creditor in a controlling relationship with the debtor, where that creditor is not subject to South African tax on the interest. - The deduction is capped by reference to a percentage of adjusted taxable income. - The excess is not forfeited; it is carried forward to the following year.	TAXPAYER — the entity that incurs the interest, whether Axion or a project company. s23M applies only if both conditions are met: the lender is in a controlling relationship with the borrower, and the lender is not subject to South African tax on the interest. - Page 20 states that the investment requires an appropriate funding structure, but does not identify the lender. Funding from a South African bank: the bank is subject to South African tax on the interest, so s23M

Section	What it requires / allows	Application to Axion
		does not limit the deduction. • Funding from a shareholder, the technical partner or an offshore group company not subject to South African tax: s23M limits the deduction and s24J alone is not the answer. • AMOUNT — capped at a percentage of adjusted taxable income; read the section for the current percentage. • TIMING — the disallowed portion is carried forward, so the deduction is deferred rather than lost.
s20(1)(a)	• A company sets off the balance of assessed loss brought forward only against the higher of R1 million or 80% of taxable income. • The unused balance carries forward. • The current-year loss is not restricted.	• Where the first-year allowances exceed taxable income, an assessed loss arises. • In the following year the brought-forward balance may be set off only against the higher of R1 million or 80% of that year's taxable income, so tax is payable on at least 20% of taxable income above R1 million. • The effect is most pronounced where the plant is held in a separate company with no other income, because the allowances then create an assessed loss that can only be absorbed against that company's own future income.
s8(4)(a) s8(4)(k)	• Amounts previously deducted and later recovered or recouped are included in income. • On disposal, the recoupment is the proceeds limited to cost, less tax value. • A recoupment can never exceed the allowances previously granted. • s8(4)(k): on a disposal to a connected person, to a shareholder, or by donation, market value is substituted for proceeds.	• On disposal the recoupment is proceeds limited to cost, less tax value, included in income in the year of disposal, and is capped at the allowances previously claimed. • Any excess of proceeds over cost is a capital gain, included at 80%. • S(8)(4)(k) – substitutes market value where the disposal is to a connected person. A transfer of the plant to a project company or to the technical partner would fall to be tested against this provision.
s11(o)	• Disposal allowance where the tax value exceeds the proceeds. • For assets qualifying under specified sections including s12B but excluding s12U. • Only where the tax life does not exceed 10 years. • Elective, and not available on a disposal to a connected person.	• Available only if the plant's tax life does not exceed 10 years. • Not available if the buyer is a connected person. • Not available for S12U assets
Eighth Schedule paras 65, 66	• Proceeds less base cost. • Proceeds are reduced by amounts included in gross income, including the recoupment. • Base cost is reduced by the allowances claimed. • Company inclusion rate 80%. • On a replacement asset, the recoupment may be deferred and released in line with the allowances on the replacement, subject to the paragraph 65 and 66 requirements.	• Any excess of proceeds over cost is a capital gain, included at 80%. • Consider paragraphs 65 and 66 if plant is disposed of in order to replace it.

2.8 Other taxes

Section	What it requires / allows	Application to Axion
VAT s16(3), s17	• Input tax is deductible to the extent goods or services are acquired for making taxable supplies. • Import VAT is recoverable.	• AMOUNT — 15% of the plant and construction cost. • TIMING — the tax period of acquisition, on a valid tax invoice. • Customs duty forms part of the cost of the asset for

Section	What it requires / allows	Application to Axion
	Customs duty is not recoverable.	s12B.
s64F	- Dividends tax at 20%. - Exempt where the beneficial owner is a resident company, subject to the declaration and undertaking.	Arises only where a separate company holds the plant and distributes profits to Axion.
Carbon Tax Act	- Imposed on emissions from fuel combustion above the activity threshold. - Not imposed on purchased electricity.	- Axion's liability arises from its diesel backup generators. - Page 20 states that renewable generation does not replace them.

2.9 Worked example

Illustrative figures. Document 7 does not state a capacity, cost, commissioning date or structure.

Step 1 — Allocate the cost to the applicable section

Cost element	Cost	Section	Year 1 deduction
Generation plant — 30MW PV	R450 000 000	s12B at 50% (above 1MW)	R225 000 000
New road and perimeter fencing	R25 000 000	s12U at 100%, if the generation trade test is met	R25 000 000
Grid connection and transmission line	R60 000 000	s11(e), apportioned	R500 000 — 20 years, 2 months
Land	R15 000 000	No allowance — base cost	Nil
Total	R550 000 000		R250 500 000

Step 2 — Section 12B over three years

Plant of R450 000 000	Year 1	Year 2	Year 3	Total
Rate	50%	30%	20%	100%
Deduction	R225 000 000	R135 000 000	R90 000 000	R450 000 000
At 27%	R60 750 000	R36 450 000	R24 300 000	R121 500 000

Step 3 — Who deducts the R250 500 000

	Axion owns	Joint operation, 50%	Project company owns
TAXPAYER	Axion	Axion 50%, partner 50%	The company
AMOUNT to Axion	R250 500 000	R125 250 000, subject to s24H(3)	Nil — s11(a) on electricity only
Taxable income R350 000 000 less	R99 500 000	R224 750 000	Less electricity purchased
Tax at 27%	R26 865 000	R60 682 500	—
If the plant accedes to land Axion does not own	Nil to Axion and nil to the landowner	Nil to Axion	Unaffected

Step 4 — Disposal, tax value nil

	Sold for R200 000 000	Sold for R500 000 000
s8(4)(a) — proceeds limited to cost, less tax value	R200 000 000	R450 000 000
At 27%	R54 000 000	R121 500 000
Capital gain — proceeds less cost, at 80% and 27%	Nil	R10 800 000

	Sold for R200 000 000	Sold for R500 000 000
Total on disposal	R54 000 000	R132 300 000

2.10 Information required

- **Capacity in MW and technology** — sets the s12B rate and the s12U threshold.
- **Split of the project cost** between plant, roads and fencing, grid connection, buildings and land.
- **Structure with the technical partner** and participation percentages.
- **Who owns the land**, the lease terms on removal, and how the plant is attached.
- **Date the plant will be brought into use.**
- Whether the generating entity will **sell or wheel** electricity — the s12U trade test.
- **Split of battery and storage spend** between generation storage and grid-charged resilience.
- **Funding structure and interest rate**; whether any plant is **imported** and the customs duty.

Investment 3 – Off-site generation and wheeling

Document 7, page 20: land and network constraints may limit generation on site; electricity generated elsewhere and supplied through the network, allocated at an agreed metering point; network and wheeling charges, transmission losses, curtailment, and electricity generated but not used.

Section	What it requires / allows	Application to Axion
s12B IT39 2.3	- The section does not require the asset to be at the taxpayer's premises. - It does require ownership. Ownership at common law. IT39 2.3: under superficies solo credit an asset artificially attached to land becomes the property of the landowner. The purchaser of the asset may therefore not be its owner and will not be entitled to a deduction; the landowner is also not entitled, having incurred no cost.	TAXPAYER – the allowance follows ownership, not location – the solar or wind plant may be situated far from Axion's data centres. Its location does not decide who claims the s12B allowance; the key question is who legally owns the plant. Scenario 1: Axion owns and retains ownership of the plant – Axion may claim the relevant capital allowances even though the plant is off site. The same rules explained under Investment 2 apply to the plant, including s12B rates and the first-use requirement. Axion may also deduct qualifying annual wheeling and network charges separately under s11(a). Scenario 2: an independent power producer owns the plant – the producer, not Axion, claims any capital allowance. Axion is merely buying electricity delivered through the network, so Axion claims the electricity, wheeling and network charges as operating expenses under s11(a), subject to its requirements. Scenario 3: Axion pays for the plant, but it becomes part of another person's land – common law may treat the landowner as the owner because the plant is permanently attached to the land. Axion would then fail the s12B ownership requirement and could not claim the allowance. The landowner would generally also have no allowance because it did not incur the plant cost. Why s12N must be checked – if Axion builds the plant on qualifying land that it may use or occupy but does not own, s12N may treat Axion as the owner for tax purposes. This is a limited rule and is not available for every ordinary private lease. Information to confirm – who owns the land; who paid for and owns the plant; whether the plant can be removed at the end of the lease; how permanently it is attached; and whether the land-use arrangement falls within s12N.
IT39 2.2	- Transformers and transmission lines are used for transmission. - They generally do not qualify under s12B.	The transmission line to the metering point is dealt with under 2.5, as s11(e).
s11(a) with s23(g)	- Expenditure actually incurred. In the production of the income. Not of a capital nature.	TAXPAYER – Axion. AMOUNT – the full network and wheeling charges. TIMING – the year the obligation arises. - These are operating costs of delivering electricity to the metering point. Transmission losses — Axion pays for volume at the generation point and receives less at the metering point. - The cost of the lost units (transmission losses, curtailed volumes and electricity generated but not used) is expenditure incurred for the purpose of securing electricity to earn income. Thus, it is deductible. The purpose of the expenditure is the decisive consideration, and it need not actually have resulted in income (Warner Lambert/Sub-Nigel). - Page 20 of pre-release lists both as features of a wheeling arrangement, so the risk is an inevitable concomitant of that arrangement (PE Tramways/Joffe).
VAT	Electricity and network services are standard-rated at 15%.	There are two supplies — electricity from the producer and the wheeling service from the network operator.

Section	What it requires / allows	Application to Axion
		- Input tax is deductible on both. - The metering point fixes the volume invoiced.

Worked example — independent producer owns the plant

Illustrative figures. Document 7 does not state a volume, price, wheeling tariff or loss factor.

	Input	Effect
Volume contracted at the generation point	80 000 000 kWh	
Transmission losses at 5%	(4 000 000 kWh)	
Volume received at the metering point	76 000 000 kWh	
Electricity — 80 000 000 kWh at R1.10	R88 000 000	s11(a) — R23 760 000
Network and wheeling charges	R12 000 000	s11(a) — R3 240 000
Total s11(a) deduction	R100 000 000	R27 000 000 at 27%
Capital allowance to Axion	Nil	Nil

Information required

- **Who owns the off-site plant**, and whether Axion acquires any interest in it.
- **Who owns the land**, the lease terms on removal, and how the plant is attached.
- The **wheeling tariff** and the **loss factor** at the metering point.
- **Who bears curtailment risk**, and whether Axion pays for electricity generated but not delivered.

Investment 4 – Long-term offtake agreements

Document 7, page 20: pricing and escalation terms may apply for many years; purchase commitments may begin before the new facility is fully utilised; the project may depend heavily on one customer.

Section	What it requires / allows	Application to Axion
s11(a) timing	- An amount is actually incurred only when an unconditional liability exists. No amount may be deducted for a provision. - Expenditure is deducted once all conditions are met, even if the amount is an estimate.	TAXPAYER — Axion, as the purchaser of the electricity under the offtake agreement. AMOUNT — each year's unconditional obligation only. - Signing an agreement running for many years does not incur the expenditure of future years (Edgars Stores/Nasionale Pers). Unconditional obligation example for Axion: - Assume Axion signs a 10-year offtake agreement requiring it to purchase a minimum volume of electricity each contract year. - The obligation for Year 1 could become unconditional when: - The electricity supplier's plant becomes operational; - The agreed supply commencement date is reached; - The supplier makes the contracted electricity available to Axion; and - Under the take-or-pay clause, Axion must pay for the minimum annual volume regardless of whether it uses all the electricity. At that point, Axion cannot avoid paying the Year 1 amount. Therefore, the Year 1 liability is actually incurred and may be deducted under section 11(a), subject to the other requirements. TIMING — in each year that the obligation for that year becomes unconditional. No deduction arises on signature for later years. Escalation does not accelerate the deduction: each year is deducted at the price applicable to that year. - An estimate does not prevent the deduction once the conditions are met.
s11(a) unused volume	- Expenditure must be incurred for the purpose of earning income. - It need not actually have produced income.	Electricity paid for but not used remains deductible. - Page 20 records that purchase commitments may begin before the new facility is fully utilised. - Where Axion is unconditionally obliged to pay a take-or-pay amount, the purpose of the expenditure is the decisive consideration, and it is deductible although the electricity is not consumed (Warner Lambert/Sub-Nigel). - Securing electricity ahead of capacity is an inevitable concomitant of contracting for future supply (PE Tramways/Joffe).
s23H	- Applies where expenditure relates to goods or services to be supplied in a future year. - The deduction is limited, unless all will be supplied within six months after year end. - Or unless the aggregate prepaid expenditure does not exceed R100 000.	Applies where any amount is payable in advance under the agreement.
VAT	Input tax follows the time of supply rules.	Deductible on each invoice, including invoices for take-or-pay volumes not consumed.

Worked example

Illustrative figures. Document 7 does not state a contracted volume, take-or-pay percentage or utilisation profile.

Take-or-pay 80 000 000 kWh, price escalating 6% a year	Year 1	Year 2	Year 3
Contract price per kWh	R1.10	R1.166	R1.23596
Volume consumed	55 000 000 kWh	70 000 000 kWh	80 000 000 kWh
Volume paid for but not consumed	25 000 000 kWh	10 000 000 kWh	Nil
Amount actually incurred — s11(a)	R88 000 000	R93 280 000	R98 876 800
— attributable to electricity consumed	R60 500 000	R81 620 000	R98 876 800
— attributable to volume not consumed	R27 500 000	R11 660 000	Nil
s11(a) deduction for the year	R88 000 000	R93 280 000	R98 876 800
Tax effect at 27%	R23 760 000	R25 185 600	R26 696 736
Of which relates to volume not consumed	R7 425 000	R3 148 200	Nil
Input tax at 15% on the full invoice	R13 200 000	R13 992 000	R14 831 520
Deduction on signature of the agreement	Nil — the Year 2 and Year 3 obligations are not yet unconditional		
Three-year totals	Deduction R280 156 800	Tax R75 642 336	Of which R10 573 200 relates to electricity never received

- **How the table reads against each section in the Investment 4 table**
- **s11(a) timing (Edgars Stores / Nasionale Pers)** — no deduction arises on signature. Each year is deducted only when that year's obligation becomes unconditional, which is why the deduction rises from R88 000 000 to R98 876 800 as the price escalates rather than being fixed at the Year 1 price.
- **s11(a) unused volume (Warner Lambert / Sub-Nigel)** — R27 500 000 in Year 1 and R11 660 000 in Year 2, R39 160 000 in total, is deductible in full although no electricity was received. The purpose of the expenditure is the decisive consideration, and relief of R10 573 200 follows.
- **PE Tramways / Joffe** — committing to volume ahead of utilisation is an inevitable concomitant of securing supply for capacity still being built, so the cost is incurred in the production of income.
- **VAT** — input tax is deductible on the full invoice, including the volume not consumed, so VAT is neutral and does not reduce the cost of the unused electricity.
- **The wasted volume is relieved at 27%**, so Axion bears 73 cents in every rand of a cost that delivers no electricity — R28 586 800 of the R39 160 000 over the three years.

Section 23H — where an amount is paid in advance

R20 000 000 paid on 1 June, before the 30 June year end	Supply completed by 31 December	Supply runs to 31 May of the following year
Is all the supply within six months after year end?	Yes	No
Does s23H limit the deduction?	No — the six-month exception applies	Yes
Deduction in the year of payment	R20 000 000 in full	Limited to the portion relating to that year — nil where no electricity has yet been supplied
Tax effect at 27% in the year of payment	R5 400 000	Nil; the R20 000 000 is deducted in the following year as the electricity is supplied

- The R100 000 de minimis in s23H is of no assistance at this scale, so the six-month test decides the year of deduction.

Information required

- The **term** and the **take-or-pay percentage or minimum purchase obligation**.
- The **escalation formula** and how each year's price is determined.
- The **utilisation profile** of the new capacity against the date the commitment begins.
- Whether any amount is payable **unconditionally on signature or in advance** (s23H).

The existing on-site solar generation

Document 7, page 19 records on-site solar generation supplementing electricity supply. This is not an option under consideration on page 20, but it carries its own consequences.

Section	What it requires / allows	Application to Axion
s12B(2)(b) s12BA	• 100% in the year of first use for photovoltaic solar not exceeding 1MW; otherwise 50 / 30 / 20. • s12BA: 125% for a new and unused asset brought into use on or after 1 March 2023 and before 1 March 2025. • The two sections are mutually exclusive.	• TAXPAYER — Axion, as owner. • AMOUNT / TIMING — depends on capacity and the date of first use, neither of which Document 7 states. • Where s12BA applied, the excess of the 125% over cost is a permanent difference.
s8(4)(a) s8(4)(nA)	• On disposal, proceeds limited to cost, less tax value, are included in income. • s8(4)(nA): for a s12BA asset disposed of before 1 March 2026, 25% of the cost recouped is included in addition. • The two inclusions together are limited to the total allowed under s12BA. • s8(4)(nA) does not apply to a disposal on or after 1 March 2026.	• TIMING — the year of disposal. • The date determines the amount: before 1 March 2026 both provisions apply; on or after that date only s8(4)(a).
s11(d) s12B(1)(i)	• Repairs are deducted in full when incurred. • Improvements are deducted at the rate applicable to the underlying asset. • s12BA made no provision for improvements.	• Replacing a damaged panel is a repair — a restoration of a subsidiary part. • Installing a better array is an improvement (African Products Manufacturing).
s12L	• Deduction for energy efficiency savings at 95 cents per kWh. • Subject to measurement and verification and a SANEDI certificate. • s23B prohibits double deductions, but IT39 9.4 confirms s12B and s12L may both be claimed, as they relate to different amounts — the cost of the asset and the energy saved.	• Page 19 records electricity as one of Axion's most significant operating costs. • Page 19 also records an AI-enabled maintenance tool piloted at Johannesburg 1.

Illustrative figures. Document 7 does not state the capacity, cost or installation date.

800kW installation costing R18 000 000	If s12B applied	If s12BA applied
Rate	100% — not exceeding 1MW	125%
Deduction in the year of first use	R18 000 000	R22 500 000
At 27%	R4 860 000	R6 075 000
Disposal for R15 000 000 before 1 March 2026	s8(4)(a) R15 000 000	s8(4)(a) R15 000 000 + s8(4)(nA) R4 500 000 = R19 500 000
Disposal for R15 000 000 on or after 1 March 2026	s8(4)(a) R15 000 000	s8(4)(a) R15 000 000 only

Additional disposal example – s8(4)(a) and s8(4)(nA)

Axion solar equipment	Sold before 1 March 2026	Sold on or after 1 March 2026
Original cost	R100	R100
s12BA allowance previously claimed	R125	R125
Selling price	R80	R80
s8(4)(a) recoupment: proceeds limited to cost, less nil tax value	R80	R80
s8(4)(nA) additional recoupment: 25% × R100	R25	Nil – provision no longer applies
Total included in Axion's income	R105	R80
Timing	Included in the tax year of disposal	Included in the tax year of disposal

Additional worked example – existing on-site solar plant

Illustrative figures showing the difference between a repair, an improvement and an energy-efficiency deduction.

Event at Axion	Tax treatment	Simple calculation
A storm damages one panel. Axion pays R10 000 to replace it with an equivalent panel.	Repair – s11(d) The work merely restores a damaged subsidiary part.	Deduction now: R10 000 Tax saving at 27%: $R10\ 000 \times 27\% = \mathbf{R2\ 700}$
Axion spends R100 000 adding higher-capacity panels and an inverter, increasing the output of the existing qualifying array.	Improvement – s12B(1)(i) The work makes the plant better and creates an enduring benefit.	Assume the underlying plant is above 1MW and uses the 50/30/20 rate: Year 1: $R100\ 000 \times 50\% = \mathbf{R50\ 000}$ Year 2: $R100\ 000 \times 30\% = \mathbf{R30\ 000}$ Year 3: $R100\ 000 \times 20\% = \mathbf{R20\ 000}$ Total deduction = R100 000
The AI-enabled maintenance tool reduces verified electricity consumption by 20 000 kWh during the year, and Axion obtains the required SANEDI certificate.	Energy-efficiency saving – s12L This deduction relates to verified energy saved, not the cost of the solar plant.	$20\ 000\ \text{kWh} \times R0.95 = \mathbf{R19\ 000\ \text{deduction}}$ Tax saving at 27%: $R19\ 000 \times 27\% = \mathbf{R5\ 130}$
Key distinction	A repair restores; an improvement makes the asset better; s12L rewards verified energy savings.	Axion may claim s12B and s12L together where their separate requirements are met because they relate to different amounts.

Conclusion and recommendation

Assessment approach

The assessment should evaluate the income tax consequences of the four renewable-energy alternatives, identify the taxpayer entitled to each deduction or allowance, explain the amount and timing, and determine the most tax-efficient option for Axion based on the available facts.

Assessment framework

1. **Identify the arrangement and taxpayer:** State whether Axion is buying electricity, owning the plant, participating through a partnership or project company, or contracting through an offtake or wheeling arrangement.
2. **Apply the relevant section:** Link operating expenditure to s11(a); qualifying generation plant to s12B; qualifying roads and fences to s12U; other depreciable assets to s11(e) or s13quin; energy-efficiency savings to s12L; and prepayments to s23H.
3. **Conclude on amount and timing:** State the deduction rate, who claims it, and when it becomes available. For s12B, focus on ownership, qualifying technology, capacity and first use. For s11(a), focus on when the liability becomes unconditional.
4. **Address limitations and risks:** Consider land ownership and attachment, s12N, s24H, assessed-loss utilisation, funding interest, VAT, mixed-source assets, recoupments and capital gains on disposal.
5. **Recommend:** Compare the timing and usability of the tax relief with the commercial risks, cash commitment and operational requirements. Do not recommend solely on the largest nominal deduction.

Conclusion

Axion should first confirm who will legally own and operate the renewable-energy plant. If Axion retains ownership and brings qualifying plant into use in its data-centre trade, direct investment offers the strongest capital-allowance position. Section 12B generally allows deductions at 50% / 30% / 20%, or 100% in year one for qualifying photovoltaic solar not exceeding 1MW. Section 12BA is unavailable for new plant brought into use after 28 February 2025. Roads, fences, transmission assets, storage and buildings must be tested separately under s12U, s11(e) or s13quin.

If Axion does not want the ownership, construction and residual-value risks, a PPA or independent-producer wheeling arrangement is simpler. Axion would receive no capital allowance but could deduct qualifying electricity, wheeling and network charges under s11(a) when the liabilities become unconditional.

A long-term offtake agreement similarly gives annual s11(a) deductions, subject to s23H for advance payments.

Recommendation: Subject to commercial feasibility, legal ownership and sufficient taxable income, Axion should prefer direct ownership where it can use the s12B allowances efficiently, as this provides earlier tax relief and control of the asset. The tax effect of using a separate project company must first be modelled because that company, not Axion, would claim the allowances and may accumulate assessed losses.

If ownership, land, funding or utilisation risks cannot be managed, an independent-producer PPA or wheeling arrangement is the more prudent alternative.